

March 14, 2025

Michael Kratsios
Director
Office of Science and Technology Policy (OSTP)

Dr. Sethuraman Panchanathan
Director
National Science Foundation (NSF)

Re: Request for Information on the Development of an Artificial Intelligence (AI) Action Plan

Dear Mr. Kratsios and Dr. Panchanathan:

The London Stock Exchange Group (LSEG) welcomes the opportunity to submit comments to the Request for Information (RFI) on the Development of an Artificial Intelligence (AI) Action Plan. We look forward to working with the Office of Science and Technology Policy (OSTP) and the National Science Foundation (NSF) to develop thoughtful and impactful policy actions that will enable the U.S. AI ecosystem, specifically including financial services, to benefit from the implementation of the AI Action Plan.

About LSEG

LSEG is a leading global financial markets infrastructure and data provider, with significant operations in the United States. We play a vital role in managing risk in the world's financial system. We are leaders in clearing and trade execution, risk management, capital formation, and data and analytics. With our trusted expertise and global scale, we enable the growth and stability of our customers, their communities, and the global financial markets.

LSEG has over 2,000 employees in sixteen offices across the U.S. – our most important and largest market, accounting for approximately 40% of our global revenues. Present in every major financial hub, LSEG has operations in over 65 countries and provides services in more than 170 countries. Every day, on average, we deliver around 300 billion data messages to customers, and every minute, on average, we update 480 million financial records, deliver 147 million market messages, and process 208,000 trades.

AI at LSEG

At LSEG, our ability to successfully deliver critical operations and timely and accurate data, in a resilient, effective, and innovative way, is key to our business. More specifically, we are focused on ensuring the quality of our data and ensuring the integrity and lineage of our model inputs. LSEG has a comprehensive and trusted suite of over 6 petabytes of company financial data covering 99% of the world's market cap and offers 7.3 million price updates per second. By introducing AI functionalities to this data, we can enhance and innovate our product offerings, improve employee productivity, help us serve customers more effectively, enable the creation of enhanced insights, and fight financial crime.

Examples of our AI-powered tools include the sourcing and extraction of unstructured data to structured data in our Data & Analytics business. A speech-to-text program transcribes company webcasts using large language models (LLMs) and reduces average processing times of transcript



summaries into LSEG's Workspace, our desktop platform that provides users financial news and global pricing data. LSEG's Advanced Dealing, our fully integrated, cloud-based foreign exchange (FX) trading environment has an AI-powered, chat-driven trading functionality.

In addition, through a partnership with Microsoft, LSEG launched Financial Meeting Prep. Using generative AI, it prepares meeting briefings for customers in seconds by combing data, public company information, news and pricing information, and relevant content from customers' enterprise Microsoft 365 suite. LSEG is also launching an AI Analytics Assistant which enables our clients to perform tasks such as suggesting suitable formulas when performing scenario analysis or generate the code necessary to price thousands of diverse instruments, using trusted underlying and evaluated pricing models. These typically labor intensive and often error prone tasks can now be performed in a more informed and timely manner.

LSEG and Responsible AI

LSEG's approach to AI governance is grounded in a core set of Responsible AI Principles that guide the development and deployment of AI technologies and models throughout LSEG's business lines. Our Responsible AI framework is informed by industry best practices and standards, including the National Institute of Standards and Technology (NIST) AI Risk Management Framework (AI RMF). These principles ensure that our AI systems are designed and used in a manner that is transparent, accountable, and aligned with the values of our organization and the expectations of our customers. Our governance structure, which oversees the implementation of our AI principles, ensures consistency across the company, that AI-related risks are managed effectively, and that a "human is in the loop." LSEG's AI initiatives are subject to LSEG's comprehensive internal governance framework, with a focus on continuous improvement and adherence to defined testing requirements and controls.

LSEG and Data Trust

Data is at the core of LSEG's operations, and we are committed to delivering the highest standards of data quality and data privacy. As we discuss in our recommendations below, LSEG's Data Trust framework is integral to LSEG's open ecosystem for financial services, built on the foundation of transparency, security, and integrity of information. With high-quality data underpinning LSEG's AI-enabled tools, we can ensure that our data is accurate, reliable, and auditable, and customers and employees make decisions with confidence. Our commitment to data privacy is unwavering, and we continuously seek ways to enhance our data governance practices and privacy assessment process, consistent with the ethical use of data and in compliance with all applicable laws and regulations. This supports the highest standards of data quality, as well as traceability and data rights management.

Recommendations for a U.S. Artificial Intelligence (AI) Action Plan

Drawing on our unique position in data and analytics, financial market infrastructure, and development of AI technologies to date, LSEG offers several recommendations for your consideration in the development of the U.S. AI Action Plan:

Support a Strong U.S. AI Infrastructure: A strong U.S. digital infrastructure means a strong AI ecosystem to help serve LSEG's U.S. customers. A robust and open U.S. AI infrastructure can enable safe model experimentation, access to data, and the deployment of AI in new and innovative ways. The steps to build and increase investment in this AI infrastructure already taken by this

Administration will help ensure the appropriate ecosystem is in place so the benefits of AI can be felt throughout the U.S. economy. To underpin this, we also suggest consideration of the following:

- **Data Centers and Cloud Providers:** Supporting a pro-innovation and pro-growth environment for U.S. data centers and cloud providers is vital for ensuring open and efficient U.S. AI development and deployment. As stated above, this infrastructure will enable safe experimentation, access to high-quality data, and the increased deployment of AI models. LSEG prioritizes the security of our cloud, data quality and integrity in our use of AI, which requires resilient and innovative data management systems with low-latency and in close proximity to our customers. We support bolstering the broader AI ecosystem in the U.S. and the computational and data infrastructure required to foster innovation to deliver products and services that serve the American public.
- **Edge Computing and Personal Devices:** Investment in edge computing and the development of protocols around AI agents on personal devices will enhance the AI ecosystem's resilience and responsiveness. This approach aligns with LSEG's own efforts to integrate AI functionalities into internal and external products to enhance productivity, solve specific problems, and improve customer service. Edge computing allows for real-time data processing and decision-making at the source, reducing latency and improving the efficiency of AI applications across devices for the benefit of U.S. users.
- **Ecosystem of Fit-for-purpose Small Language Models:** Small Language Models (SLMs) are similar to large language models (LLMs) but with vastly fewer parameters. They are designed to function well with lower computational requirements and less memory, e.g. they are very well suited for personal devices. Customization for specific domains is easier and enables fit-for-purpose solutions. We envision SLMs becoming more prolific and approaching the performance of LLMs and encourage the adoption of standards and best practices that encourage common interfaces and exchangeability to enable their deployment and adoption.
- **Undersea Fiber Optic Cables and Financial Security:** Ensuring the security of undersea cables is critical for global financial security, given the vast amounts of data that they enable to be shared between financial markets. Threats to these cables present significant risks for end users, via the companies that rely on them in the course of doing business. These vulnerabilities must be identified, mitigated effectively, and closely monitored. The protection of these cables is essential for maintaining the reliability of global communication between financial networks, financial transactions, and the continuity of business for companies like LSEG and the customers we serve. It is in the interest of the U.S. and the federal government to work closely with industry partners to communicate and plan for any eventuality and ensure that our financial markets remain secure and free from interference.

AI, Data Trust and Data Quality

- **Public, Machine-Readable Data:** The U.S. government should increase the use and sharing of its publicly available data in a machine-readable format. There is a need for accurate, reliable, and transparent data and the U.S. should continue to play a leading role as part of its AI strategy to ensure that federal agencies maintain and publicly post machine readable data. Publicly available data can serve as a valuable resource for AI developers, enabling the creation of more robust and accurate AI models.

- **Public-Private Data Sharing Initiatives:** Promoting initiatives for data sharing between the public and private sectors will enhance the quality and availability of data for AI development. Collaborative data sharing initiatives can facilitate the exchange of valuable insights and drive innovation across industries, including financial services.
- **Guardrails for Synthetic Data:** Establishing voluntary guardrails specifically for synthetic data, which is data generated by AI, is essential to ensuring its trustworthiness and mitigating potential biases. Synthetic data can be a valuable tool for training AI models, but it must be carefully managed to avoid introducing biases and inaccuracies that can lead to degenerative models with unreliable predictions. This is even more important for financial data where decisions are made based on the accuracy and reliability of the inputs. Data governance discussions and frameworks for AI governance should include standards for synthetic data, and industry should work with government to ensure that any synthetic data is of high-quality and used appropriately, either as training data or part of larger datasets.
- **Industry-Led Standards for Data Management:** LSEG's Data Trust is an industry-leading framework that supports the highest standards of data integrity, traceability, and data rights management for both providers and customers, alike. Developing industry-led and neutral standards for data management will support the development of AI systems that are reliable and accurate. LSEG has been developing best practices with industry partners to neutrally capture real data and promote the responsible use of AI technologies. To support these efforts, and enable data for use AI use, federal agencies can partner with industry to share and adopt practices that will boost overall data reliability and further U.S. leadership in the AI ecosystem.
- **AI Design Pattern Standards** The workflows in financial services span a complicated interplay between nuanced content sets at scale, timeliness of reporting, derived features, sophisticated analytics, tools, and technology. AI systems designed to improve access, efficiency and understanding require not only responsible AI underpinnings, but also a specific appreciation of the complicated and interconnected nature of the financial data and analytics ecosystem. By necessity, major financial infrastructure providers are exploring AI Design Patterns, templates tailored to the financial ecosystem that enhance service while also minimizing inaccuracies and disruption. We recommend establishing AI Design Patterns standards in concert with relevant federal agencies based on financial services best practices.
- **Harmonize AI in Financial Services:** In financial services, timely, accurate and reliable data underpins every decision made by a market participant, and there is a complex data and AI ecosystem that enables these decisions to be made. Inconsistent definitions and legal and data licensing frameworks can lead to confusion among customers and clients around data usage and slow the adoption or deployment of AI applications. In the U.S., this is compounded by the proliferation of state-specific AI legislation. We support the Administration taking the necessary steps to work with Congress to develop AI legislation to establish a consistent federal policy for AI and for the relevant financial services agencies overseeing this technology. This will allow business and governments to use a commonly shared framework to enable AI adoption.

Cross-border Data Flows and AI

Establishing the link between AI and cross-border data flows is crucial. At LSEG, we pride ourselves on being a provider of trustworthy data and understand AI's real potential can only be unlocked with accurate, trustworthy, and easily accessible data. As we've discussed above, policy discussions around industry-led practices and the development of standards for AI must include data, and, furthermore, must be bolstered by policies that allow allies to share data safely and securely across borders. For example, we support efforts such as developing industry-acceptable practices to facilitate cross-border data flows and ensure that domestic policies help reduce barriers to data flows while protecting privacy.

This is a whole of government approach that can be supported not just by OSTP, but federal agencies across the U.S. government that have an interest in ensuring that the U.S. remains a leader in addressing market access barriers (such as data localization) in the digital economy. The financial services industry is a data-driven industry that relies on real-time, accurate global financial data to function. We ask that the U.S. support strong digital trade provisions ensuring the free flow of data and enabling market access in the digital economy in discussions with trading partners and allies. Digital agreements, focused on data, AI, and critical and emerging technologies, are an opportunity for the U.S. to ensure its leadership not just in AI, but in the crucial component, data, that fuels the digital economy and helps U.S. business, both large and small, grow in the U.S. economy.

Managing Risk and Opportunities

LSEG recognizes that the use of AI in the financial services sector presents both risks and opportunities. We are proactive in identifying and mitigating a wide range of potential risks associated with AI, including risks that may be present in the data we use. Our risk management framework includes comprehensive policies and procedures that are designed to ensure the responsible use of AI. We also actively seek opportunities to leverage AI to enhance our services, improve operational efficiency, and customer service.

Our alignment with the NIST AI RMF enables us to systematically manage AI risks across our organization. LSEG's approach to AI risk management is dynamic and responsive, allowing us to adapt to the evolving landscape of AI technologies and their applications in the financial services sector. In addition, we conduct regular assessments for ethical risks associated with AI, including using established internal guidelines for bias mitigation and explainability. Data, AI model, and intellectual property risks are interconnected, and are key areas of focus for our internal AI risk controls. We encourage the Administration to maintain and build on the NIST AI RMF as a U.S.-led way to manage risk and promote the responsible adoption of AI. The AI RMF was meant to evolve with AI technology and has long-formed a strong foundation for public-private collaboration.

Building on this foundation, LSEG has also extended its model governance to fully align with the Federal Reserve and Office of the Comptroller of the Currency's (OCC) *Supervisory Guidance on Model Risk Management*¹ to encompass AI with a specific focus on rule-based tiering that takes all usage impact, model complexity and data sensitivity into consideration. Model risk control has been extended to capture more complex AI model ecosystems and model wrappers that require concentration and substitutability tracking, as well as testing and monitoring on the ecosystem level.

¹ <https://www.federalreserve.gov/supervisionreg/srletters/sr1107.htm>



LSEG's Responsible AI standards provide guidance for AI owners and developers across three key dimensions, including the AI life cycle, control functions (e.g. data, cyber), and LSEG's own Responsible AI Principles. We support the continuation of the guidance provided by the Federal Reserve and OCC.

International Collaboration

Regarding ongoing U.S. and international efforts to govern AI, LSEG appreciates this Administration's commitment to leading on AI via the Action Plan and supports the steps taken by the U.S. to work with other like-minded nations to build consensus around shared principals of AI governance. This includes a focus on innovation, economic growth, and security, to increase transparency and harness the opportunities of AI. We have outlined other steps that can be taken above, and we hope that industry, in close partnership with policymakers, will continue to pursue the adoption of existing, voluntary governance frameworks that can adapt with the innovation in technology, provide businesses with the certainty they need to use AI responsibly, and ensure market stability.

We encourage the Administration to lead efforts toward an internationally consistent approach to regulating AI and encouraging its standards setting bodies, like NIST, to play a leading role, along with OSTP, NSF, and the broader U.S. technology research and development apparatus. As a highly regulated financial services and data provider, LSEG stands ready to provide expertise that can further unlock the application and use of AI and data in the U.S. financial services sector that can benefit the U.S. economy and the deployment of this technology.

We appreciate the opportunity to respond to this RFI and look forward to continuing this important dialogue as these technologies evolve. Should you have any questions or would like to discuss our comments further, please do not hesitate to contact Kevin Walsh, LSEG Government Relations and Regulatory Strategy, at [REDACTED]

Sincerely,

Jenny Cosco
Global Head of Government Relations & Regulatory Strategy
LSEG